

CUSTOMER SHOPPING BEHAVIOUR ANALYSIS

1. Project Overview

This project analyzes customer shopping behavior using transactional data from **3.9K** purchases across various product categories. The goal is to uncover insights into spending patterns, customer segments, product preferences, and subscription behavior to guide strategic business decisions.

2. Dataset Summary

- Rows: 3,900
- Columns: 18
- Key Features: Customer demographics (Age, Gender, Location, Subscription Status)
- Purchase details: Item Purchased, Category, Purchase Amount, Season, Size, Color
- Shopping behavior: Discount Applied, Promo Code Used, Previous Purchases, Frequency of Purchases, Review Rating, Shipping Type
- Missing Data: 37 values in Review Rating column

3. Exploratory Data Analysis using Python

We began with data preparation and cleaning in Python:

- Data Loading: Imported the dataset using pandas.
- Initial Exploration: Used `df.info()` to check structure and `df.describe()` for summary statistics.

	Customer ID	Age	Gender	Item Purchased	Category	Purchase Amount (USD)	Location	Size	Color	Season	Review Rating	Subscription Status	Shipping Type	Discount Applied	Promo Code Used	Previous Purchases	Payment Method	Frequency of Purchases
count	3900.000000	3900.000000	3900	3900	3900	3900.000000	3900	3900	3900	3900	3863.000000	3900	3900	3900	3900	3900.000000	3900	3900
unique	NaN	NaN	2	25	4	NaN	50	4	25	4	NaN	2	6	2	2	NaN	6	7
top	NaN	NaN	Male	Blouse	Clothing	NaN	Montana	M	Olive	Spring	NaN	No	Free Shipping	No	No	NaN	PayPal	Every 3 Months
freq	NaN	NaN	2652	171	1737	NaN	96	1755	177	999	NaN	2847	675	2223	2223	NaN	677	584
mean	1950.500000	44.068462	NaN	NaN	NaN	59.764359	NaN	NaN	NaN	NaN	3.750065	NaN	NaN	NaN	NaN	25.351538	NaN	NaN
std	1125.977353	15.207589	NaN	NaN	NaN	23.685392	NaN	NaN	NaN	NaN	0.716983	NaN	NaN	NaN	NaN	14.447125	NaN	NaN
min	1.000000	18.000000	NaN	NaN	NaN	20.000000	NaN	NaN	NaN	NaN	2.500000	NaN	NaN	NaN	NaN	1.000000	NaN	NaN
25%	975.750000	31.000000	NaN	NaN	NaN	39.000000	NaN	NaN	NaN	NaN	3.100000	NaN	NaN	NaN	NaN	13.000000	NaN	NaN
50%	1950.500000	44.000000	NaN	NaN	NaN	60.000000	NaN	NaN	NaN	NaN	3.800000	NaN	NaN	NaN	NaN	25.000000	NaN	NaN
75%	2925.250000	57.000000	NaN	NaN	NaN	81.000000	NaN	NaN	NaN	NaN	4.400000	NaN	NaN	NaN	NaN	38.000000	NaN	NaN
max	3900.000000	70.000000	NaN	NaN	NaN	100.000000	NaN	NaN	NaN	NaN	5.000000	NaN	NaN	NaN	NaN	50.000000	NaN	NaN

- Missing Data Handling: Checked for null values and imputed missing values in the **Review Rating** column using the **median rating** of each product category.

- Column Standardization: Renamed columns to **snake case** for better readability and documentation.
- Feature Engineering:
 - Created **age_group** column by binning customer ages.
 - Created **purchase_frequency_days** column from purchase data.
- Data Consistency Check: Verified if discount_applied and promo_code_used were redundant; dropped promo_code_used.
- Database Integration: Connected Python script to PostgreSQL and loaded the cleaned DataFrame into the database for SQL analysis.

4. Data Analysis using SQL (Business Transactions)

We performed structured analysis in PostgreSQL to answer key business questions:

1. **Revenue by Gender** – Compared total revenue generated by male vs. female customers.

	gender text	revenue numeric
1	Female	75191.00
2	Male	157890.00

2. **High-Spending Discount Users** – Identified customers who used discounts but still spent above the average purchase amount.

	customer_id bigint	purchase_amount bigint
1	2	64
2	3	73
3	4	90
4	7	85
5	9	97
6	12	68
7	13	72
8	16	81
9	20	90
10	22	62
11	24	88
12	29	94
13	32	79
14	33	67
15	35	91
16	37	69

Total rows: 839 Query complete 00:00

3. **Top 5 Products by Rating** – Found products with the highest average review ratings.

	item_purchased text	Average Product Rating numeric
1	Gloves	3.86
2	Sandals	3.84
3	Boots	3.82
4	Hat	3.80
5	Skirt	3.78

4. **Shipping Type Comparison** – Compared average purchase amounts between Standard and Express shipping.

	shipping_type text	Average Purchase Amount numeric
1	Standard	58.46
2	Express	60.48

5. **Subscribers vs. Non-Subscribers** – Compared average spend and total revenue across subscription status.

	subscription_status text	total_customers bigint	avg_spend numeric	total_revenue numeric
1	Yes	1053	59.49	62645.00
2	No	2847	59.87	170436.00

6. **Discount-Dependent Products** – Identified 5 products with the highest percentage of discounted purchases.

	item_purchased text	discount_rate numeric
1	Hat	50.00
2	Sneakers	49.00
3	Coat	49.00
4	Sweater	48.00
5	Pants	47.00

7. Customer Segmentation – Classified customers into New, Returning, and Loyal segments based on purchase history.

	customer_segment text	count_segment bigint
1	Loyal	3116
2	New	83
3	Returning	701

8. Top 3 Products per Category – Listed the most purchased products within each category.

	item_rank bigint	category text	item_purchased text	total_orders bigint
1	1	Accessories	Jewelry	171
2	2	Accessories	Sunglasses	161
3	3	Accessories	Belt	161
4	1	Clothing	Blouse	171
5	2	Clothing	Pants	171
6	3	Clothing	Shirt	169
7	1	Footwear	Sandals	160
8	2	Footwear	Shoes	150
9	3	Footwear	Sneakers	145
10	1	Outerwear	Jacket	163
11	2	Outerwear	Coat	161

9. Repeat Buyers & Subscriptions – Checked whether customers with >5 purchases are more likely to subscribe.

	subscription_status text	repeat_buyers bigint
1	No	2518
2	Yes	958

10. Revenue by Age Group – Calculated total revenue contribution of each age group.

	age_group text	total_revenue numeric
1	Young Adult	62143
2	Middle-aged	59197
3	Adult	55978
4	Senior	55763

5. Dashboard in Power BI

An interactive dashboard developed using Power BI to present key insights on sales performance, customer behavior, and purchasing patterns.

It will enable stakeholders to easily interpret data and support data-driven decision-making.



6. Business Recommendations (Solutions)

- Focus on high-performing categories:** Since categories like Clothing and Accessories generate higher sales, the company should prioritize inventory and marketing efforts in these segments.
- Leverage discount-driven products:** Products like hats, sneakers, and coats show high discount dependency; targeted discount strategies can be used to boost sales without over-discounting all products.
- Improve customer retention:** With a large number of loyal customers compared to new ones, introducing loyalty programs and personalized offers can further strengthen retention and repeat purchases.
- Enhance subscription strategy:** As subscribers contribute significant revenue, incentivizing repeat buyers to subscribe can increase long-term customer value.

5. **Optimize shipping strategy:** Since express shipping shows slightly higher average purchase value, promoting faster delivery options may increase overall revenue.
6. **Target age-based marketing:** Young adults contribute the highest revenue, so marketing campaigns should be tailored specifically to this segment.
7. **Utilize product ratings:** High-rated products (like gloves and sandals) should be promoted more, while low-rated items should be improved or re-evaluated.

7. Conclusion

This analysis provided valuable insights into customer behavior, purchasing trends, and key revenue drivers. The findings can help the company improve marketing strategies, customer retention, and overall business performance through data-driven decision-making.